

YBSP CANADA — APPLICATION DOSSIER & MASTER ROADMAP

Transition from Federal Not-for-Profit Corporation to CRA Registered Charity

Under the Canada Not-for-profit Corporations Act and CRA Guidance CG-019 (Charitable Purposes)

1. Executive Summary & Legal Gap Analysis

Youth Building in Synergy to end Poverty (YBSP Canada) is a federally incorporated not-for-profit corporation (Corporation # 1154010-6, BN 779321272RC0001) registered on July 29, 2019. To obtain registered charitable status with the Canada Revenue Agency (CRA) under paragraph 149(1)(f) of the Income Tax Act, an organization must be constituted exclusively for charitable purposes and operate exclusively for those purposes.

Analysis of Existing 2019 Articles of Incorporation:

The existing Purpose schedule in Form 4001 includes: *'Participer dans les campagnes de sensibilisation... etc.'* and *'Organiser des événements, des petits commerces, des levées de fonds...'*

Why the CRA will reject the 2019 objects under Guidance CG-019:

- **'Organiser des petits commerces' is non-charitable:** Guidance CG-019 (para 24) explicitly prohibits listing commercial business operations as a purpose. Carrying on a business is not a charitable object.
- **'Levées de fonds' is an activity, not a purpose:** CRA rules state that fundraising is a means to support an object, not a charitable purpose in itself.
- **'etc.' is prohibited as vague:** CRA requires definite, precise scopes of activities.
- **The Liquidation & Non-Remuneration clauses are ALREADY COMPLIANT:** YBSP Canada's existing Schedule already requires remaining assets on liquidation to transfer to a qualified donee (ITA 248(1)) and mandates \$0 director remuneration per Section 8.

2. New Proposed Charitable Purposes (Compliant with CG-019)

To satisfy the three mandatory elements under CG-019 (**What:** Category of charity, **How:** Scope of activities, **Who:** Eligible beneficiary group), the following 4 objects must be adopted via Form 4004 (Articles of Amendment) with Corporations Canada:

Category (What)	Charitable Purpose Wording (How & Who)
Relief of Poverty (Soulagement de la pauvreté)	To relieve poverty by providing basic necessities of life, including nutritious food, clothing, clean water, and essential school s
Advancement of Education (Avancement de l'éducation)	To advance education by providing structured career mentorship, digital workplace literacy, and applied artificial intelligence
Relief of Poverty & Livelihoods (Moyens de subsistance)	To relieve poverty by providing vocational starter equipment (including tailoring, carpentry, and agricultural toolkits) and busin
Promotion of Health (Promotion de la santé)	To promote health by providing culturally sensitive mental health awareness workshops, wellness dialogues, and supportive
Qualifying Disbursements (Débours admissibles)	To make qualifying disbursements to qualified donees and eligible grantee organizations in accordance with subsection 149.

3. Step-by-Step Filing Roadmap

STEP 1: Amend Articles of Incorporation (Corporations Canada)

1. Board of Directors (Yves Dushimimana, Trésor Nishimwe, Eric Mayer) approves a special resolution to amend the Purpose Schedule.
2. Log in to the *Corporations Canada Online Filing Centre* (ic.gc.ca/corp-online) using Corporation # 1154010-6.
3. Select **Form 4004 - Articles of Amendment** and replace Section 4 (Purposes) with the 5 CG-019 compliant purposes above.
4. Pay the \$200 statutory filing fee. Corporations Canada issues the *Certificate of Amendment* within 3 to 5 business days.

STEP 2: Submit Application for Charitable Registration (CRA Form T2050)

1. Sign in to **CRA My Business Account (MyBA)** using BN 779321272.
2. Under the *Charities* menu, click '**Apply for charitable registration**' (Form T2050 online).
3. Upload the certified Certificate of Amendment, by-laws, and detailed program statements.
4. Complete Parts 1 to 6 online and submit. CRA assigns an application reference number.

4. Answers & Detailed Narrative for Form T2050 (Part 3 - Activities)

The CRA requires exact, detailed descriptions answering What, Why, Who, When, Where, Budget %, and Staffing for every activity:

- **Activity 1: Youth Career Mentorship & Applied AI (Canada):** Structured 12-week cohorts pairing newcomer and African diaspora youth with Canadian public and private sector professionals. Weekly sessions on resume tailoring, workplace culture, and practical generative AI workflows. Budget: 35% of annual expenditures. Location: National Capital Region & virtual across Canada.
- **Activity 2: Sunday Meal & Psychosocial Reintegration (Burundi):** Weekly Sunday meals providing hot nutrition, hygiene, clothing, and psychosocial support to children living on the streets in Bujumbura, transitioning them toward school or vocational reintegration. Documented since 2013 with over 60 meals delivered. Budget: 25% of annual expenditures. Location: Bujumbura, Burundi.
- **Activity 3: #Sororalkaye School Supply Drives (Burundi):** Providing educational kits (notebooks, uniforms, backpacks, and tuition fee support) to enable children from vulnerable families to attend primary and secondary school in Bujumbura Rural and Kabezi. Budget: 20% of annual expenditures.
- **Activity 4: #MurabireKazoza Vocational Starter Toolkits (Burundi):** Supplying sewing machines, carpentry kits, and agricultural tools to youth graduating from trade apprenticeships to foster economic self-reliance. Budget: 15% of annual expenditures.
- **Activity 5: General Administration & Statutory Compliance:** Accounting, filing, and bilingual member communications. Budget: 5% of annual expenditures.

5. Foreign Activities Protocol (CRA Direction & Control / Grantee Rules)

Because YBSP Canada operates cross-border solidarity projects in Burundi, the CRA requires confirmation that Canadian charitable funds are safeguarded. Under the 2022/2023 qualifying disbursements rules and traditional agency agreements, YBSP Canada must maintain:

1. **A Written Grantee Agreement** between YBSP Canada and YBSP Burundi setting out project milestones, budgets, and deliverables.
2. **Milestone-Based Disbursements:** Funds are released in tranches only upon verification of purchase invoices (e.g. receipts for notebooks, sewing machines, food).
3. **Field Inspection Reports:** Photo, video, and beneficiary distribution logs submitted by the local Burundian team.